

Stefano Maximilian Lord-Medrano

lordmedrano@wisc.edu • [Website](#) • +1 (608) 982-4167

Placement Director: Rishabh Kirpalani, +1 (608) 890-1289, rishabh.kirpalani@wisc.edu

Placement Administrator: Jenny Schroeder, +1 (608) 890-1104, jmschroeder2@wisc.edu

Office Contact Information

Department of Economics

University of Wisconsin–Madison
1180 Observatory Drive
Madison, WI 53706

Education

Ph.D. in Economics, University of Wisconsin–Madison 2021–2027 (expected)

M.S. in Economics, University of Wisconsin–Madison 2023

M.A. in Economics (with Honors), Instituto Tecnológico Autónomo de México (ITAM) 2019

B.A. in Economics (with Honors), Instituto Tecnológico Autónomo de México (ITAM) 2015

References

Kim J. Ruhl (Co-Chair)

Curt and Sue Culver Chair of Economics
University of Wisconsin–Madison
+1 (608) 263-3877
ruhl2@wisc.edu

Kenneth D. West (Co-Chair)

John D. MacArthur Professor
University of Wisconsin–Madison
+1 (608) 262-0033
kdw@wisc.edu

Dean Corbae

W. S. Trukenbrod Chair in Finance
University of Wisconsin–Madison
+1 (608) 262-3281
dean.corbae@wisc.edu

Louphou Coulibaly

Assistant Professor
University of Wisconsin–Madison
+1 (608) 265-6594
lcoulibaly@wisc.edu

Lydia Cox

Assistant Professor
University of Wisconsin–Madison
+1 (608) 265-2570
lydia.cox@wisc.edu

Fields

Primary: International Macroeconomics

Secondary: Time-Series Econometrics, Empirical Finance

Job Market Paper

“Geeconomic Pressure, Sovereign Risk, and Asset Prices: Evidence from Mexico”

Abstract. Coercive pressure from a large economy can reprice a smaller sovereign’s default risk well before any shock to its fundamentals. I study this channel using the pressure that Donald Trump directed at Mexico during his 2016 campaign and first year in office, a setting that isolates the

geoeconomic shock from Mexico's own fiscal position. Using a synthetic-control estimator on daily credit default swap data, I find that this pressure raised Mexico's sovereign spread by 24 basis points on average, and a textual analysis of Trump's social-media posts shows that trade threats, not migration threats, drove the rise. I then trace how this Mexico-specific repricing transmits to asset prices: a one-basis-point increase in the spread depreciates the peso by 5.3 cents and lowers Mexican equity returns by 0.11 percent, with financial and tradable-goods sectors most exposed. A quantitative sovereign-default model, in which the pressure tilts the income process toward adverse states, rationalizes the repricing as the price of a tail risk that never materialized and implies a welfare cost of 0.09 percent of consumption. As complementary, data-driven evidence, high-frequency and filtering methods put the consumption cost at 0.35 percent.

Publications

- “Effects of the International Regulatory Reforms over Market Liquidity of Mexican Sovereign Debt,” with José Luis Lara, Fabrizio López-Gallo, and Alberto Romero. *Journal of Financial Stability*, 2021.

Working Papers

- “When Concentration Meets Uncertainty: Trade Structure and Sovereign Default Risk,” with Cutberto Frías. Manuscript, July 2026.
- “Markup Cyclicalities under Macroeconomic Uncertainty,” with Julio Mereb. Manuscript, February 2026.
- “FX Interventions in a Small Open Economy: The Case of Domestic Non-Deliverable Forwards,” with Yeonggyu Yun. Manuscript, July 2025.
- “Measuring High-Frequency Financial Uncertainty,” with Cutberto Frías. Manuscript, October 2022.
- “A Pre-COVID Measure of the Effect of the 2018 Economic Shift in Mexico,” with Felipe Meza. Manuscript, February 2022.
- “Detecting a Fall in Trend Growth of the Mexican Economy in 2019,” with Felipe Meza. Manuscript, June 2021.

Work in Progress

- “The Aggregate(d) Effects of Tariff Policy,” with Miguel Acosta, Lydia Cox, Andrew Greenland, James Lake, and John Lopresti.
- “Macroprudential and Monetary Policy under Political Frictions,” with Carlos Bolivar and Yeonggyu Yun.
- “Competition in Oil Markets and Passthrough of Oil Shocks,” with Jack Collison.
- “Anticipating Sovereign Rating Changes at High Frequency and Quantifying Macroeconomic Responses,” with Cutberto Frías and Alberto Romero.

Research Experience

University of Wisconsin–Madison

- Research Assistant to Profs. Miguel Acosta and Lydia Cox Spring & Fall 2026

• Research Assistant to Prof. Dean Corbae	Summer & Fall 2023; Summer 2024
Banco de México — Financial Stability Directorate	
• Financial Researcher	2014–2021

Teaching Experience

University of Wisconsin–Madison (Teaching Assistant)

• Econometrics I (graduate)	Fall 2025 (<i>eval.</i> 5.00/5)
• Intermediate Macroeconomic Theory	Spring 2025 (<i>eval.</i> 4.86/5)
• Econometrics I (graduate)	Fall 2024 (<i>eval.</i> 4.73/5)
• Macroeconomics I (graduate)	Spring 2024 (<i>eval.</i> 4.48/5)
• Macroeconomics I (graduate)	Spring 2023 (<i>eval.</i> 4.93/5)
• Intermediate Macroeconomic Theory	Fall 2022 (<i>eval.</i> 4.60/5)
• Principles of Macroeconomics	Fall 2021, Spring 2022 (<i>eval.</i> 4.46/5, 4.56/5)

Instituto Tecnológico Autónomo de México (ITAM) (Instructor)

• International Economics II	Spring 2021 (<i>eval.</i> 4.79/5)
• Advanced Macroeconomics	Spring 2018 (<i>eval.</i> 4.95/5)
• Principles of Macroeconomics	Spring 2017, Fall 2017 (<i>eval.</i> 4.93/5, 4.87/5)

Honors, Fellowships, and Awards

• Alice Gengler Wisconsin Distinguished Graduate Fellowship, UW–Madison	2026
• Juli Plant Grainger Exceptional TA Award, UW–Madison	2026
• SRGC Conference Presentation Travel Award, UW–Madison	2026
• Distinguished Teaching Assistant, UW–Madison	2025
• Nominated, L&S Teaching Mentors Program, UW–Madison	2025
• Juli Plant Grainger Teaching Excellence Award, UW–Madison	2024
• Nominated, Campus-Wide TA Award, UW–Madison	2024
• Juli Plant Grainger Institute Summer Fellowship (joint with Y. Yun)	2024
• Juli Plant Grainger Teaching Excellence Award, UW–Madison	2023
• Juli Plant Grainger Institute Summer Fellowship	2023
• Barcelona GSE Scholarship for Postgraduate Studies	2019
• Banco de México Scholarship for Postgraduate Studies	2017
• ITAM Scholarship for Postgraduate Studies	2017
• ITAM Teaching Award	2017
• First Place, Challenge of the Central Banker (<i>Reto Banxico</i>)	2014
• ITAM Scholarship for Undergraduate Studies	2010

Conferences and Invited Presentations

• AEA’s Poster Session, Washington D.C. (<i>scheduled</i>)	2027
• The Econometric Society: North American Summer Meeting, Emory University	2026

- Minnesota–Wisconsin International Macro Student Workshop, UW Madison 2026
- 18th FIW-Research Conference on International Economics, WU Vienna 2026
- 6th Biennial Conference on Financial Stability, Banco de México 2025
- Midwest Macroeconomic Conference, Federal Reserve Bank of Kansas City 2025
- Minnesota–Wisconsin International Macro Student Workshop, University of Minnesota 2024
- ITAM Alumni Conference, ITAM 2024
- Midwest Macroeconomic Conference, Texas Tech University 2023
- Second Conference on Network Models and Stress Testing, Banco de México 2017
- Research Seminar, Financial Stability Directorate, Banco de México 2016
- Workshop on Financial Stability, Systemic Risk and Macroprudential Policy, Bundesbank 2016

Short Courses and Schools

- JIE Summer School in International Economics, Oxford University 2024
- Bayesian Methods for DSGE Models, Barcelona GSE 2019

Professional Service

Refereeing: Journal of Money, Credit and Banking ($\times 2$), Journal of Financial Markets, Institutions & Instruments.

Undergraduate Thesis Supervision (ITAM, Economics): 3 theses supervised, 3 theses as committee member.

Other Service: Member of the Jury, Financial Stability Directorate, Banco de México Undergraduate Monetary Policy Challenge (*Reto Banxico*).

Skills and Languages

Programming and Tools: Julia, MATLAB, Stata, L^AT_EX, Microsoft Office.

Languages: Spanish (native), English (fluent), French (basic).

Citizenship: Canada, Mexico.

Last updated: July 2026